

v. Fixed Deposits (FDs) in Small Finance Banks

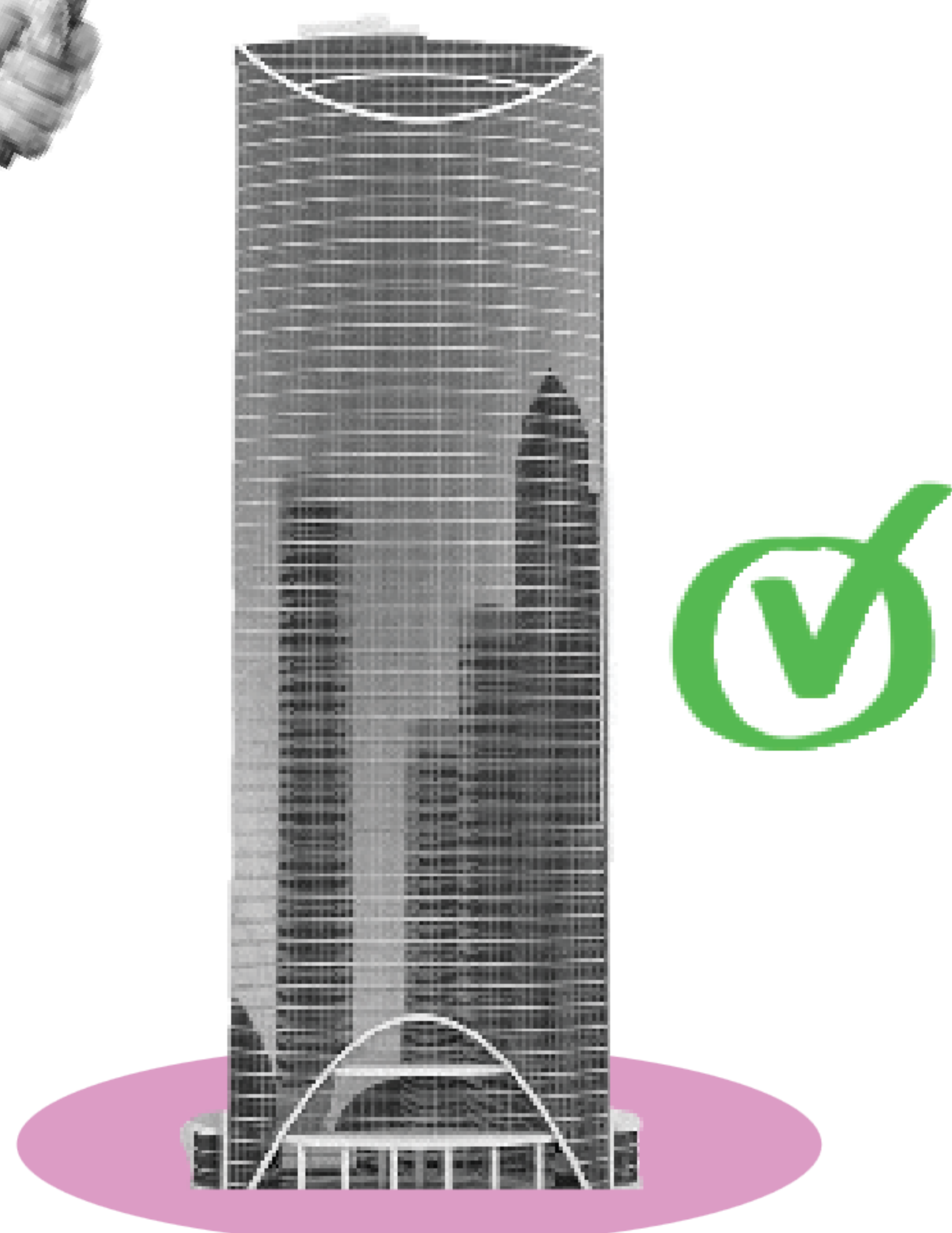
Small Finance Banks are known for offering higher interest rates compared to Private and Public Banks. If you're looking for a better FD returns, then Small Finance Banks' FDs are a better option. But now the question arises- Is it safe to invest in these banks?

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Small Finance Bank Public and Private Banks



Small Finance Banks are covered under the Deposit Insurance and Credit Guarantee Corporation (DICGC) Scheme and your money is safe for up to ₹ 5 lakhs. So your principal and interest amount is insured up to 5L.

Also, there is a deposit insurance on each bank separately, so if you have a larger corpus, you can invest in different SFBs up to 5L to take advantage of the higher rates.



Commercial Banks and
Small Finance Banks



Corporate and
Co-operative Banks



Now, cooperative banks and a few corporates also offer FDs. Their FDs are not insured under (DICGC) Scheme. So, if they default, you might lose your money!